CHAPTER 7

FINANCIAL STATEMENTS OF A COMPANY

CHAPTER ESSENCE AT A GLANCE:
Format corporate Balance Sheet and Statement of Profit and Loss according to Schedule III of the Companies Act 2013 with mandatory head and sub-head classification.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Schedule III Mandatory Framework:** Companies Act 2013 prescribes a rigid vertical presentation format under Schedule III Division I for Balance Sheet (Part I) and Statement of Profit and Loss (Part II).

• **Equity and Liabilities Classification:** Classified into three major heads: Shareholders' Funds (share capital, reserves & surplus), Non-Current Liabilities (long-term borrowings), and Current Liabilities (short-term debts).

• **Assets Bifurcation Taxonomy:** Classified into Non-Current Assets (Property, Plant & Equipment, Intangible assets, Non-current investments) and Current Assets (Inventories, Trade receivables, Cash & cash equivalents).

• **Statement of Profit and Loss Structure:** Presents Revenue from Operations and Other Income minus Expenses categorized into cost of materials consumed, employee benefits, finance costs, and depreciation.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Total Equities and Liabilities} = \text{Shareholders' Funds} + \text{Non-Current Liabilities} + \text{Current Liabilities}$$

Schedule III Corporate Balance Sheet Liability Master Identity

$$\text{Total Corporate Assets} = \text{Non-Current Assets} + \text{Current Assets}$$

Schedule III Corporate Asset Master Identity

$$\text{Total Corporate Revenue} = \text{Revenue from Operations} + \text{Other Income}$$

Statement of Profit and Loss Aggregate Revenue

$$\text{Profit for the Period} = (\text{Total Revenue} - \text{Total Expenses}) - \text{Tax Expense}$$

Net Profit After Tax Operational Outcome

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Calls in Arrears is deducted from Subscribed Capital under Shareholders' Funds, not shown as an asset.

• **Alert:** Proposed Dividend for the current year is a Contingent Liability disclosed in Notes to Accounts, never recognized as a liability on the face of the Balance Sheet.

• **Alert:** Loose tools and stores & spares are classified strictly under Inventories in Current Assets, not under Property, Plant and Equipment.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the two primary parts of Schedule III of the Companies Act 2013. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Part I:** Form of Balance Sheet (Vertical format with Equities & Liabilities and Assets). [1 Mark]

• **Part II:** Form of Statement of Profit and Loss (Revenue minus categorized operational expenses). [1 Mark]

2. What are Contingent Liabilities? Give two examples of contingent liabilities in a company. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Potential obligations whose existence depends on the outcome of uncertain future events beyond company control, disclosed in Notes to Accounts. [1 Mark]

• **Examples:** (1) Claims against the company not acknowledged as debts, (2) Guarantees given by the company on behalf of subsidiaries. [1 Mark]

3. State the Major Head and Sub-Head under which each of the following appears in a company Balance Sheet: (a) Securities Premium, (b) 9 percent Debentures, (c) Loose Tools. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Securities Premium:** Major Head: Shareholders' Funds; Sub-Head: Reserves and Surplus. [1 Mark]

• **(b) 9 percent Debentures:** Major Head: Non-Current Liabilities; Sub-Head: Long-Term Borrowings. [1 Mark]

• **(c) Loose Tools:** Major Head: Current Assets; Sub-Head: Inventories. [1 Mark]

4. State the Major Head and Sub-Head under which each of the following appears in a company Balance Sheet: (a) Trade Payables due after 15 months, (b) Mining Rights, (c) Provision for Employee Benefits due within 12 months. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Trade Payables (> 12 months):** Major Head: Non-Current Liabilities; Sub-Head: Other Long-Term Liabilities. [1 Mark]

• **(b) Mining Rights:** Major Head: Non-Current Assets; Sub-Head: Property, Plant and Equipment and Intangible Assets (Intangible Assets). [1 Mark]

• **(c) Provision for Employee Benefits:** Major Head: Current Liabilities; Sub-Head: Short-Term Provisions. [1 Mark]

5. Explain the major categories of expenses required to be presented in the Statement of Profit and Loss under Schedule III. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Materials and Operations:** Cost of materials consumed, Purchases of stock-in-trade, and Changes in inventories of finished goods, WIP, and stock-in-trade. [1 Mark]

• **Staff and Capital Costs:** Employee benefits expense (salaries, wages, PF contributions), and Finance costs (interest on bank loans and debentures). [1 Mark]

• **Depreciation and Others:** Depreciation and amortization expense, and Other operating expenses. [1 Mark]

6. Distinguish between Operating Cycle and 12-month period in determining Current vs Non-Current classification. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Operating Cycle:** The time elapsed between acquisition of assets for processing and their realization in cash or cash equivalents. [1.5 Marks]

• **Classification Criterion:** An asset or liability expected to be realized or settled within the normal operating cycle (or within 12 months if operating cycle is shorter or not identifiable) is classified as Current. [1.5 Marks]

7. Prepare the 'Equity and Liabilities' part of the Balance Sheet of Galaxy Ltd as per Schedule III from the following balances: Equity Share Capital Rs 10,00,000; General Reserve Rs 2,50,000; 10 percent Debentures Rs 5,00,000; Trade Payables Rs 1,80,000; Short-Term Provisions (Tax) Rs 70,000. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **1. Shareholders' Funds:** (a) Share Capital = Rs 10,00,000; (b) Reserves and Surplus (General Reserve) = Rs 2,50,000. Total Shareholders' Funds = Rs 12,50,000. **[1.5 Marks]**

• **2. Non-Current Liabilities:** (a) Long-Term Borrowings (10 percent Debentures) = Rs 5,00,000. Total Non-Current Liabilities = Rs 5,00,000. **[1 Mark]**

• **3. Current Liabilities:** (a) Trade Payables = Rs 1,80,000; (b) Short-Term Provisions = Rs 70,000. Total Current Liabilities = Rs 2,50,000. **[1 Mark]**

• **Total Equity and Liabilities:** Rs 12,50,000 + Rs 5,00,000 + Rs 2,50,000 = Rs 20,00,000. **[0.5 Mark]**